

NovaCorp Financial Services Limited

Annual Report & Financial Statements
For the Financial Year Ended 30 June 2025

ABN 47 003 882 471 | ASX: NVC

Strength through integration. Growth through people.

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Chief Executive Officer's Message

Andrew Blackwood — Managing Director & CEO

FY2025 was a year of consolidation, discipline, and strategic progress. Against a backdrop of elevated interest rates, evolving regulatory obligations under the Financial Accountability Regime, and the continued integration of our three acquisition cohorts, NovaCorp delivered statutory net profit after tax of **\$689 million** — a 13.5% increase on the prior year — while growing total revenue to **\$4.42 billion**.

Our Retail Banking division posted record net interest income on the back of disciplined repricing and deposit franchise stability. Wealth Management continued its recovery trajectory, with funds under management reaching \$18.2 billion. Our Insurance segment returned to underlying profitability following the natural disaster claims spike that weighed on FY2024 results.

The acquisition integration programme — spanning Entity_A (acquired FY2022), Entity_B (FY2023), and Entity_C (late FY2024) — remains our most complex strategic undertaking. Entity_A has reached full operational integration and its attrition profile has normalised to below the Group average. Entity_B is in an active stabilisation phase, with engagement and attrition metrics remaining elevated; cultural alignment and systems harmonisation are progressing and scheduled for completion by Q2 FY2026. Entity_C integration planning is underway.

We are not complacent about people risk. Voluntary attrition in FY2025 ran above our internal benchmark of 9.5%, particularly in Risk & Compliance — where personal accountability obligations under FAR have intensified competition for senior regulatory talent — and within the Entity_B cohort. Some of this attrition is regrettable; some reflects the structural reshaping of our workforce post-acquisition. We are investing deliberately to address the former.

The Board approved a **People Investment Programme** of \$47 million in May 2025, targeting three areas: manager capability development across all levels; compensation equity for the high-potential cohort, where internal benchmarking identified systematic compression in role-level pay bands; and a redesigned engagement infrastructure to better capture sentiment from employees who do not currently respond to standard pulse surveys — a population our analysis suggests is disproportionately at flight risk.

I thank our 12,003 colleagues for their commitment and our shareholders for their continued confidence in NovaCorp's long-term value creation thesis.

Andrew Blackwood

Managing Director & CEO, NovaCorp Financial Services Limited

01 Strategic Overview & Vision

NovaCorp's purpose is to help Australians build financial confidence across every life stage — through banking, protection, and wealth creation. Our strategy is built on four pillars, each with a defined horizon and measurable outcome target for FY2027.

PILLAR 1	Organic Revenue Growth Grow net interest income and fee revenue through deepened customer relationships, cross-sell penetration, and digital channel migration. Target: 6–8% CAGR through FY2027.
PILLAR 2	Integration & Operational Scale Complete the three-cohort acquisition integration programme by Q2 FY2026. Achieve \$85M in run-rate cost synergies by FY2027. Consolidate onto a single core banking platform.
PILLAR 3	Digital & Technology Transformation Migrate 75% of retail transactions to digital channels by FY2026. Invest \$320M over three years in infrastructure modernisation, cloud migration, and AI-enabled decisioning.
PILLAR 4	Workforce Capability & Culture Build a high-performance, engaged workforce as a source of competitive advantage. Resolve voluntary attrition to below 9.5% by FY2026. Achieve 40% female representation at Level 5 and above by FY2027.

Risk Landscape

NovaCorp operates in a heightened regulatory environment. The Financial Accountability Regime (FAR), effective from March 2024 for ADIs, has introduced individual accountability obligations on senior executives and directors that reshape how we attract and retain regulatory expertise. APRA's continued focus on operational resilience, liquidity risk, and climate-related financial risk disclosure adds further complexity to our compliance posture.

Macroeconomically, the RBA's rate normalisation cycle has benefited net interest margins but increased arrears pressure in our mortgage and personal lending portfolios. We have responded with proactive provisioning and a tightening of credit origination standards.

03 FY2025 Performance Highlights

Year ended 30 June 2025 vs Year ended 30 June 2024

\$4,420M Total Revenue ▲ 6.1% vs FY2024	\$1,375M Operating Profit ▲ 9.8% vs FY2024	\$689M NPAT ▲ 13.5% vs FY2024	15.6% Net Profit Margin ▲ 100 bps vs FY2024
\$1.15 Earnings Per Share ▲ 13.5% vs FY2024	\$0.63 Dividend Per Share Fully franked	\$18.2B Wealth FUM ▲ 7.4% vs FY2024	9.4% Tier 1 Capital Ratio Above APRA minimum

04 Segment Performance

Segment	Revenue (\$M)	Underlying Profit (\$M)	vs FY2024	Key Driver
Retail Banking	2,072	519	▲ 8.2%	NIM expansion; deposit repricing
Wealth Management	702	163	▲ 11.4%	FUM growth; adviser productivity
Insurance	860	123	▲ 22.7%	Claims normalisation post FY2024
Business Banking & Group	786	237	▲ 2.1%	Cost discipline; treasury income
Total	4,420	1,042	▲ 9.8%	Pre central-cost allocation

Retail Banking remains the Group's largest earnings contributor, generating \$2,072M in revenue on the back of disciplined balance sheet management and a net interest margin of 2.18% (FY2024: 1.97%). Wealth Management benefited from market-driven FUM recovery and a 12% uplift in adviser productivity metrics. Insurance returned to underlying profitability after elevated catastrophe claims in FY2024. Business Banking & Group includes commercial lending, treasury, and Group corporate functions.

05 Consolidated Statement of Profit & Loss

For the Financial Year Ended 30 June 2025 (AUD Millions, unless noted)

	Not e	FY2025 \$M	FY2024 \$M	Change
REVENUE				
Net interest income	1	2,072	1,882	▲ 10.1%
Fee and commission income	2	960	915	▲ 4.9%
Insurance premium revenue	3	860	800	▲ 7.5%
Wealth management & advisory fees	4	391	345	▲ 13.3%
Net gains on financial instruments	5	86	63	▲ 36.5%
Other operating income	—	51	160	▼ 68.1%
TOTAL REVENUE	—	4,420	4,165	▲ 6.1%
OPERATING EXPENSES				
Personnel expenses	6	1,750	1,655	▼ 5.7%
Technology & infrastructure	7	460	430	▼ 7.0%
Occupancy & property	—	155	163	▲ 4.9%
Marketing & distribution	—	128	118	▼ 8.5%
Compliance & regulatory	8	210	180	▼ 16.7%
Depreciation & amortisation	9	240	226	▼ 6.2%
Acquisition integration costs	10	67	92	▲ 27.2%
Other operating expenses	—	35	49	▲ 28.6%
TOTAL OPERATING EXPENSES	—	3,045	2,913	▼ 4.5%
PROFIT				
OPERATING PROFIT	—	1,375	1,252	▲ 9.8%
Credit loss provisions	11	(295)	(297)	▲ 0.7%
EARNINGS BEFORE INTEREST & TAX	—	1,080	955	▲ 13.1%
Corporate interest expense	—	(95)	(88)	▼ 8.0%
PROFIT BEFORE TAX	—	985	867	▲ 13.6%
Income tax expense (30.0%)	12	(296)	(260)	▼ 13.8%
STATUTORY NPAT	—	689	607	▲ 13.5%
Less: minority interest	—	(8)	(7)	—
NPAT ATTRIBUTABLE TO EQUITY HOLDERS	—	681	600	▲ 13.5%

Note 6 — Personnel expenses: includes base salary, statutory superannuation (12.0% of base salary, legislated rate effective 1 July 2025), annual leave provisions, and short-term incentives for directly employed staff across 12,003 active employees and 1,400 employees who departed during the financial year. The average base salary of \$128K reported in the Workforce section represents active employee base salary only; the personnel line above reflects total employment costs including on-costs and partial-year costs for departed employees.

Note 10 — Acquisition integration costs include one-off system migration, redundancy, and cultural integration programme costs. FY2024 figure (\$92M) reflects full-year Entity_B integration and initial Entity_C planning costs. FY2025 figure (\$67M) reflects Entity_B programme completion costs and Entity_C early-stage integration. Numbers may not sum due to rounding.

06 Workforce & People

As at 30 June 2025

12,003 Active Employees FY2024: 11,847	10.4% Voluntary Attrition ▼ from 10.9% FY2024	81.7% Survey Response Rate 5-wave engagement programme	\$128K Avg Base Salary ▲ 3.2% vs FY2024
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NovaCorp's total workforce of 12,003 active employees spans seven business divisions across Sydney, Melbourne, Brisbane, Perth, and Auckland. Personnel expenses of \$1,750M represent 39.6% of total revenue (FY2024: 39.7%), reflecting both salary growth of 3.2% and the partial-year cost of 1,400 employees who departed during the financial year.

Department	Headcount	% of Workforce	Voluntary Attrition	vs Firm Avg
Retail Banking	2,974	24.8%	9.3%	Below avg
Technology	2,717	22.6%	10.4%	In line
Risk & Compliance	1,783	14.9%	11.8%	Above avg
Insurance	1,597	13.3%	10.3%	In line
Wealth Management	1,387	11.6%	10.5%	In line
Corporate Operations	1,334	11.1%	11.6%	Above avg
Executive Leadership	211	1.8%	8.3%	Below avg
Total / Weighted Avg	12,003	100%	10.4%	

People Investment Programme (PIP). In May 2025, the Board approved the People Investment Programme — a \$47M commitment over 24 months targeting: (1) manager capability uplift across all eight seniority levels, including structured coaching intervention for managers whose team attrition rates sit in the top quartile of the firm; (2) compensation equity review for the high-potential cohort, where analysis identified average pay compression of approximately 7–8 percentage points relative to the role-level midpoint; and (3) engagement infrastructure redesign to capture the sentiment of the non-responding population — approximately 18% of the workforce — who our data suggests exit at substantially higher rates than regular survey respondents.

Equity & Inclusion. Women represent 47.3% of the total workforce and 34.1% of Level 5 and above roles (FY2024: 31.8%). NovaCorp's target of 40% female representation at Level 5 and above by FY2027 is achievable but requires sustained pipeline investment, particularly at Level 3 (Senior Manager) where current female representation is 38.6%.

Acquisition cohort attrition. Entity_A employees (integrated FY2022) now have an attrition rate of 7.5%, below the Group average of 10.4%, indicating successful integration. Entity_B (FY2023) remains elevated at 15.0% — approximately 47% above NovaCorp-Origin cohort rates — and is the primary integration risk for FY2026. Entity_C (late FY2024) is at 9.3%, within normal range for an early-stage integration.

07 Outlook & Forward Strategy

FY2026 Guidance and Strategic Priorities

NovaCorp enters FY2026 with a strong capital position, improving operational leverage, and a clear integration roadmap. Subject to no material deterioration in the macroeconomic or regulatory environment, the Board provides the following guidance for FY2026:

Metric	FY2026 Guidance	FY2025 Actual
Total revenue growth	5–7%	\$4,420M
Cost-to-income ratio	Below 67%	68.9%
Credit loss provisions	\$270–310M	\$295M
Net profit after tax	\$760–820M	\$689M
Voluntary attrition	Below 9.5%	10.4%
Integration cost (one-off)	\$40–50M	\$67M
Dividend payout ratio	55–65%	54.8%

Entity_B Integration Completion

Finalise systems migration and cultural integration by Q2 FY2026. The \$85M synergy target depends on completion of the core banking platform consolidation currently scheduled for December 2025. Attrition in the Entity_B cohort is expected to normalise to Group-average levels within 12 months of programme completion.

Risk & Compliance Talent Stabilisation

Address elevated attrition at Director level (L4) in Risk & Compliance through targeted FAR readiness support, role clarity frameworks, and compensation benchmarking against the regulatory talent market. This cohort represents a material operational risk given APRA's active enforcement posture and the personal liability obligations that make senior compliance roles more demanding than in prior years.

Digital Channel Acceleration

Reach 60% digital transaction share by December 2025. The Technology division's \$460M investment in FY2025 underpins this target, with three major platform releases scheduled in H1 FY2026.

People Investment Programme Execution

Deploy \$24M of the \$47M PIP commitment in FY2026, with measurable KPIs against manager quality scores (team attrition rate by manager), high-potential retention rates (hipo_flag cohort voluntary attrition), and engagement response rates across all acquisition cohorts.

Forward-looking statement disclaimer. This Annual Report contains forward-looking statements relating to NovaCorp's business, financial condition, results of operations, and strategic plans. These statements involve known and unknown risks, uncertainties, and other factors that may cause actual results to differ materially from those expressed or implied. NovaCorp undertakes no obligation to update forward-looking statements to reflect events or circumstances after the date of this report. This document has been prepared for authorised recipients only.

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